

Supplier Agreements & Procurement Handbook

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1. Purpose

This handbook summarises the commercial terms Meridian Roasters holds with each green coffee supplier, explains how performance against those terms is measured, and defines the process by which a supplier relationship is reviewed, remediated or ended.

Contract summaries in §3 are abstracts. The executed agreements are held by Legal and prevail in any dispute. Where a summary here and an executed contract differ, the contract governs and this handbook is wrong and must be corrected.

2. How we buy

Meridian buys green coffee on fixed-price forward contracts, denominated in USD, on FOB terms from origin port. We take title at the origin port rail and carry the freight, insurance and arrival risk from that point.

This matters for how delay is treated. Because we are the party arranging carriage from FOB, an ocean delay after loading is ordinarily our risk, not the supplier's. The exceptions are set out in §4.3 and are the subject of specific negotiated carve-outs with two of our five suppliers.

Purchase orders are raised against an annual volume commitment with quarterly call-offs. Lead time runs from purchase order date to arrival at the Port of Portland, and is the measure used throughout this handbook.

3. Supplier contract summaries

3.1 Finca La Esperanza — Colombia (SUP-01)

Term	Value
Relationship since	April 2019
Origin region	Huila
Load port	Cartagena
Incoterm	FOB Cartagena
Currency	USD
Contracted lead time	42 days , purchase order to Portland arrival
Tolerance	± 7 days
Annual volume commitment	36,000 kg
Quality floor	Cupping 84.0, Grade 1
Notice period	120 days
Force majeure	§9.1 applies with the carve-out at §9.2

Strategic note. Finca La Esperanza is our sole qualified source for the Colombian washed base of Cascadia Blend, our highest-volume product. There is no second qualified Colombian source. Qualification of an alternate has been on the procurement plan since Q3 2024 and has not been completed. Until it is, every delay at this supplier propagates directly into product quality under MR-QA-STD-002 §10, and the sole-source review trigger at §11.1 applies rather than the standard trigger at §11.2.

3.2 Kochere Cooperative — Ethiopia (SUP-02)

Term	Value
Relationship since	June 2019
Load port	Djibouti
Incoterm	FOB Djibouti
Contracted lead time	55 days
Tolerance	± 10 days
Annual volume commitment	14,000 kg
Quality floor	Cupping 86.0
Notice period	90 days
Force majeure	§9.1, standard, no carve-out

Longer tolerance reflects known routing variability out of Djibouti. Supplies the Yirgacheffe Kochere single origin, which goes out of stock rather than substituting.

3.3 Fazenda Serra Verde — Brazil (SUP-03)

Term	Value
Relationship since	August 2020
Load port	Santos
Incoterm	FOB Santos
Contracted lead time	38 days
Tolerance	± 5 days
Annual volume commitment	42,000 kg
Quality floor	Cupping 80.0
Notice period	60 days
Force majeure	§9.1, standard, no carve-out

Our largest supplier by volume and our most reliable on time. Supplies the balance component of Cascadia Blend and the base of Harbour Espresso. Lots from this supplier are the ones most likely to be sitting in the silo when a shortage bites, which is the operational reason §5 of the QA manual exists.

3.4 Lintong Highlands — Indonesia (SUP-04)

Term	Value
Relationship since	March 2021
Load port	Belawan
Incoterm	FOB Belawan
Contracted lead time	48 days
Tolerance	± 10 days
Annual volume commitment	11,000 kg
Quality floor	Cupping 84.0
Notice period	90 days
Force majeure	§9.1 with the carve-out at §9.2, added at renewal in 2025

The §9.2 carve-out was negotiated into this contract at the 2025 renewal specifically as a consequence of INC-2024-11, in which a Belawan port closure produced a supply gap that Meridian absorbed in full.

3.5 Antigua Valley Mill — Guatemala (SUP-05)

Term	Value
Relationship since	November 2021
Load port	Puerto Quetzal
Incoterm	FOB Puerto Quetzal
Contracted lead time	40 days
Tolerance	± 7 days
Annual volume commitment	18,000 kg
Quality floor	Cupping 83.0
Notice period	90 days
Force majeure	§9.1, standard, no carve-out

Supplies the secondary component of Cascadia Blend.

4. Measuring lead time

4.1 The three figures, and which one is meant

Three different numbers are routinely called "lead time" inside Meridian. They are not interchangeable and confusing them is the single most common analytical error in procurement reporting.

Contracted target. The figure in the agreement, held on the supplier record. A property of the contract, not of any shipment.

Actual lead time. Days elapsed from purchase order date to actual arrival at Portland. A property of a specific purchase order. **Where the phrase "lead time" is used without qualification in this handbook, in reporting, or in conversation, it means this figure.**

Estimated arrival. The carrier's ETA at time of booking. Useful for planning, useless for performance measurement, and never the basis of a breach assessment.

4.2 Variance and breach

Variance is actual lead time minus contracted target.

A purchase order is **within tolerance** where variance falls inside the tolerance band in §3. A purchase order is **in breach** where variance exceeds the tolerance band, unless relieved under §9.

Variance is assessed per purchase order. A supplier's average variance across a year can sit comfortably inside tolerance while individual orders breach badly, and it is individual breaches that damage production. Average variance is a relationship health indicator; individual breach count is the contractual measure. Reporting that shows only the average will conceal exactly the events this handbook exists to manage.

4.3 Worked example

A purchase order raised on a supplier with a 42-day contracted target and ± 7 tolerance, arriving 68 days after the purchase order date, has an actual lead time of 68 days and a variance of +26 days. This exceeds the tolerance band by 19 days and is a breach unless relieved under §9.

5. Quality claims

Where a delivered lot scores below the contractual quality floor, a claim is raised within fourteen days of cupping. Remedies available, in order of preference:

1. Replacement at supplier cost on the next available sailing
2. Price adjustment proportionate to the score shortfall
3. Rejection and full credit

A lot in the Reject band under MR-QA-STD-002 §2.2 is rejected outright and is not negotiated down into a blend.

Claims are tracked against the supplier record and count toward the review triggers in §11.

6. Payment and currency

Payment terms are net 30 from bill of lading date, in USD, against documents. FX exposure sits between contract price in USD and revenue in USD, CAD, GBP and EUR, and is reported monthly by Finance.

Procurement does not hedge. Where a currency movement materially changes landed cost, that is reported rather than managed at the purchase order level.

7. Supplier quality claims and counterclaims

Suppliers may claim against Meridian for wrongful rejection, late payment, or failure to take contracted volume. Counterclaims are handled by Legal and are recorded on the supplier record so that any review under §11 sees both directions of the relationship. A supplier with three breaches against us and two legitimate counterclaims against them is a different conversation from one with three breaches and a clean record.

8. Ordering and call-off discipline

Quarterly call-offs must be raised at least one full lead time plus tolerance before the required arrival date. A purchase order raised late produces a late arrival that is not a supplier breach, and misclassifying our own planning failure as a supplier breach corrupts the review process at §11.

Where a call-off is raised late, the purchase order record must be annotated accordingly. An unannotated late arrival is assessed as a supplier breach by default.

9. Force majeure

9.1 Standard clause

A supplier is relieved of lead-time obligations where performance is prevented by an event beyond their reasonable control, including natural disaster, civil unrest, government action, crop failure attributable to extreme weather, and labour action at origin not involving the supplier's own workforce.

Relief requires written notice within five business days of the supplier becoming aware of the event, and requires the supplier to demonstrate that the event actually prevented performance rather than merely made it more difficult.

9.2 Carve-out — port congestion and vessel scheduling

Applies to Finca La Esperanza (SUP-01) and Lintong Highlands (SUP-04) only.

The following are expressly **excluded** from force majeure relief under these two agreements:

- port congestion at the load port
- vessel roll-over, missed sailings and carrier scheduling failures
- container availability and equipment shortage
- delays in export documentation or customs clearance at origin

The commercial rationale is that these events are foreseeable at both ports, are within the supplier's capacity to manage through earlier booking and alternate carrier arrangements, and have materialised repeatedly. The supplier is expected to book with sufficient margin that ordinary congestion does not breach the contracted lead time.

A delay caused by port congestion or a missed sailing at Cartagena or Belawan is therefore **a breach, not a relieved event**, and counts toward the review triggers in §11.

Suppliers under §9.2 were compensated for accepting the carve-out through a price adjustment at the relevant renewal. It is a paid-for term, not an imposition, and should be enforced accordingly.

9.3 Relief does not cancel the operational consequence

A supplier properly relieved under §9.1 still leaves Meridian without coffee. Force majeure governs contractual liability, not production planning. A relieved delay must still be raised operationally so that quality and production can plan a response under MR-QA-STD-002 §5, and so that the customer-facing consequence is attributed correctly under MR-CC-POL-004 §7.1.

The attribution question and the liability question are separate. A supply failure that is contractually the supplier's fault may still be company-attributable for customer remedy

purposes, because from the customer's point of view we shipped a product that did not meet its specification.

10. Remedy ladder for supplier breach

Step	Trigger	Action
1	First breach in rolling 12 months	Written notice, recorded on supplier record
2	Second breach	Formal performance conversation, corrective action plan requested
3	Third breach, or second at a sole-source supplier	Supplier review under §11
4	Review outcome	Remediation plan, volume reduction, or notice to terminate

11. Supplier review triggers

11.1 Sole-source suppliers

Where a supplier is the only qualified source for a component, review is triggered by **two** breaches within a rolling twelve months, rather than three. The lower threshold reflects that a sole-source failure has no mitigation and propagates directly into product.

Review of a sole-source supplier must consider, and record, the following before any recommendation is made:

- breach history with variance for each breach
- whether any breach was relieved under §9, and if so on what evidence
- downstream quality impact, including any substitution made under MR-QA-STD-002 §5 as a consequence
- customer impact and remedy cost arising
- the state of alternate source qualification
- the practical consequence of termination given no alternate exists

A recommendation to terminate a sole-source supplier without a qualified alternate in place is a recommendation to discontinue the affected product. That is a commercial decision for the Commercial Director and the Managing Director jointly, not a procurement decision, and it must be presented as the product decision it actually is.

11.2 Multi-source suppliers

Three breaches within a rolling twelve months, or two quality claims, or any single breach exceeding thirty days' variance.

11.3 What a review cannot settle

A supplier review assembles evidence. It does not, by itself, answer whether a relationship should end. That question weighs contractual performance against switching cost, qualification lead time, relationship history, origin availability and product strategy, and several of those inputs are judgements held outside procurement.

Reviews that present a termination recommendation as though it followed arithmetically from the breach count have overstepped, and are returned.

12. Revision history

Version	Date	Change
1.0	Feb 2020	Initial issue
2.0	Jan 2023	Lead-time definitions formalised in §4.1
2.1	Sep 2024	Sole-source review trigger introduced at §11.1 following INC-2024-11
3.0	Jul 2025	§9.2 port congestion carve-out extended to SUP-04 at renewal; §9.3 added separating liability from attribution; §11.3 added